What your auditor is likely to retest: Allowable Activities & Allowable Costs

OMB Compliance Supplement, Part 3, Sections A and B | 2 CFR 200 Subpart E (Cost Principles)

Why this finding keeps coming back. The fix usually lands in the policy manual, not at the approval step. Auditors re-sample charges from the new year, so any cost approved without support, without an allocation basis, or outside the award's purpose produces the same finding – even after the corrective action plan says it is resolved.

What the auditor will pull and test

- A sample of expenditures charged to the program (often 25–60 items, set by risk and population), each traced to invoice, approval and GL coding.
- Whether each cost is an allowable activity for the program (Part 4 for your Assistance Listing) and fits the approved budget.
- The cost principles: necessary, reasonable, allocable, consistently treated and adequately documented (2 CFR 200.403–200.405).
- Payroll: time records that reflect actual work and are approved by someone who knows the work – budget percentages alone are a classic exception (2 CFR 200.430(i)).
- Journal entries that move costs onto the award: a written allocation method, applied consistently (2 CFR 200.405(d)).
- Indirect costs: an approved rate, or the de minimis rate (up to 15% of MTDC), applied to the right base (2 CFR 200.414).

Evidence that closes it

- ✓ A written allowability procedure (2 CFR 200.302(b)(7)) and a named approver who confirms "allowable under award #___" on every invoice or check request.
- ✓ A signed cost allocation plan stating the bases (FTE, square feet, time) and a monthly allocation workpaper.
- ✓ Timesheets covering 100% of each person's time, signed by employee and supervisor, reconciled to budget estimates at least quarterly with adjustments booked.
- ✓ Separate GL accounts or classes for unallowable costs (alcohol, entertainment, lobbying, fines).
- ✓ A self-test of 25 charges made after the fix date, with zero exceptions, filed for the auditor.

A 30-day fix plan

Week 1	Week 2	Week 3	Week 4
Pull the last audit's exceptions and your CAP. Tie each exception to the control that failed.	Write or update the allowability, allocation and time-and-effort procedures.	Switch on the approval step and the quarterly payroll reconciliation.	Self-test 25 new charges, file the evidence, send your funder a CAP status note.

A corrective action plan entry auditors accept: "Effective [date], the Finance Director approves every charge to award #___ against a written allowability checklist, and payroll charged to the award is reconciled to timesheets each quarter. Evidence: signed checklists, quarterly reconciliations, and a 25-item self-test." Every entry names a person, a date and the evidence you will show.

Rules to cite in your corrective action plan: 2 CFR 200.302(b)(7), 200.403, 200.405, 200.414, 200.420–200.476, 200.430(i); 200.511 (CAP); 200.521 (management decision).

Findings Review - $2,000 fixed fee, about two weeks. I map what the auditor tested, write the procedures they expect, and hand you a corrective action plan with owners, dates and an evidence index your funder can follow.
Book a 20-minute call: https://cal.com/foktconsulting/20min

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